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BUSINESS CASE COMPETITION 2026

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Round 1

EXECUTIVE SUMMARY

THE CORE ARGUMENT：

REG must transform from an event promoter to Greater China's K-Culture ecosystem builder to counteract market diversion and unlock new growth.

ROLEMODEL ENTERTAINMENT GROUP

1. Structural Challenges

MARKET DIVERSION

- Potential Mainland opening threatens the **60-70% core audience**.
- HK risks losing exclusivity as fans **bypass the city** for local tours.

CULTURAL DISCONNECT

- Current K-pop and local idol tie-ups are **highly superficial**.
- REG misses out on massive **C-Pop monetization** and long-term IP.

INDUSTRY STAGNATION

- K-pop album export growth has plummeted to 0.55%.
- Profitability is squeezed by **over-reliance on hardcore fans**.

2. Strategic Solutions

PREMIUM FESTIVAL HUB

- Leverage the new for exclusive Asian premieres. **Kai Tak Stadium (50K cap)**
- Host multi-day mega-events (MAMA, KCON) forming an .**irreplicable barrier**

THE REVERSE INCUBATOR

- Utilize CJ ENM to pioneer **C-Pop x K-Pop idol collaborations**.
- Transition REG from a distributor to an **IP content co-owner**.

DATA-DRIVEN ECOSYSTEM

- Deploy for dynamic pricing & risk mitigation. **Business Intelligence (BI)**
- Systematically convert into paying attendees. **casual listeners**

3. Target Goals (2028)

-30%

TICKET RELIANCE

Reduce dependency on volatile, **low-margin** single-event ticket sales.

40%

HIGH-MARGIN REVENUE

Boost share of **sponsorships** and **IP licensing** across the ecosystem.

>60%

MAINLAND RETENTION

Secure high-net-worth fans through **exclusive mega-festivals** despite market opening.

INDUSTRY ANALYSIS

Competitive landscape, revenue models & REG's structural gap

COMPETITIVE LANDSCAPE

Live Nation US / Global

- ✓ World's largest live entertainment co.
- ✓ JYP global exclusive deal (2023)
- ✗ No Chinese entertainment DNA
- ✗ Cannot bridge Korean-Chinese content

iMe Entertainment Mainland China

- ✓ Chinese capital — outbids rivals on guarantees
- ✓ **Strong Mainland China distribution channels**
- ✗ Zero Korean IP production capability
- ✗ **K-pop concerts still restricted in Mainland China**

K-pop Industry Risks Structural headwinds

- ⚠ "Seven-Year Curse": disbandments at contract expiry
- ⚠ Korean Military service interrupts male idol activities
- ✗ Album sales fell 19% in 2024 (first drop in 10 yrs)
- ✗ J-pop precedent: 50% sales drop in 15 years

REVENUE MODEL ANALYSIS

Tickets | Sponsorship | Other

REG Current — Ticket-only (small concerts)

100%

REG Large Show — 10,000+ seat venues

80% | 20%

Festival Model — Coachella / Clockenflap ref.

48% | 35% | 17%

Industry est.

REG Target — Phase 3 goal (2028)

60% | 25% | 15%

Team projection

HKD 3.7B
HK concert market 2023–24

50,000
Kai Tak seats vs old max 14,000

REG'S STRUCTURAL EDGE

Capability	Live Nation	iMe	REG
Korean IP Production	✓	✗	✓
Greater China Channels	✗	✓	✓
HK Neutral Platform	✗	✗	✓
K-pop Ecosystem Depth	✗	✗	✓
Content Creation Rights	✓	✗	✓

THE COMPETITIVE WHITE SPACE

REG is the **only player** with Korean IP + Greater China access + HK neutral platform. Neither Live Nation nor iMe can replicate this trifecta.

K-pop Album Export Growth

82.6% → 0.55%

YoY growth: 2019–20 → 2023–24

Company & Industry Analysis

REG today — and why the status quo cannot hold

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REG TODAY

WHO WE ARE

CJ ENM subsidiary · HK-based concert promoter
Operating in: Hong Kong · Macau · Taipei

REVENUE MODEL

Small concert: ~100% ticket sales
Large (10K+ seats): up to 20% sponsorship

KEY IP ASSETS

- **MAMA AWARDS** (world's #1 K-pop ceremony)
- **KCON** (world's largest K-culture festival)

HKD 3.7B	60–70%	83%
HK concert market 2023–24	Mainland fans at HK K-pop	Mainland visitors at KCON HK

TRIGGERS FOR CHANGE

1 Market Threat
Mainland may open → HK's monopoly window at risk

2 Competition Rising
Live Nation: JYP global exclusive
iMe: Chinese capital, higher artist guarantees

3 K-pop Growth Stalling
Album export growth:
82.6% → 0.55%
2019–20 vs 2023–24

4 New Infrastructure
Kai Tak Stadium opened 2025
50,000 seats — HK's first world-class venue

THE CORE TENSION

REG HAS

The greatest K-pop cultural IPs in Greater China
→ MAMA AWARDS + KCON

REG DOES

Passive concert promoter
→ Earning ticket margins only

THE RISK

Once mainland opens — mainland fans go to Beijing & Shanghai directly.
Live Nation & iMe take the rest.

MARKET ANALYSIS

Evolving audience demands and government tailwinds — why the window for REG is opening now

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EXISTING AUDIENCE

Gen 2–3 | Millennial

60-70%	HKD800 –2,000	81%
Mainland China visitors	ticket price range	female audience

Mainland Pilgrims

Travel to HK specifically for K-pop. Seek full weekend experience: concert + dining + shopping. Use Weibo & Damai for ticketing.

Local Loyalists

Students & young women aged 15–24. Deep fandom, strong social media engagement. Price-sensitive but highly loyal.

WHY THEY MATTER TO REG

83% of KCON HK overseas visitors were from Mainland China — the highest-value, most travel-ready audience REG already has.

EMERGING AUDIENCE

Gen Z | K-culture Fan

The new majority — currently underserved

HOW THEY DISCOVER K-POP

Xiaohongshu (RED)
Lifestyle content & idol aesthetics

TikTok / Douyin
Short-form dance & challenge trends

Instagram Reels
Concert highlights, fan-made content

WHAT THEY WANT (vs old audience)

Before Albums + concerts only
Now → **K-culture lifestyle: food, beauty, fashion + music**

Before Hardcore fan identity
Now → **Casual entry — KCON day passes, livestreams**

Before Travel to Seoul / Tokyo
Now → **Accessible HK events with social media moments**

HK GOVERNMENT SUPPORT

Policy 1 Concert Economy Initiative

- HKSAR declared concert economy a policy priority (Jan 2025)
- HKD 3.7B market → HKD 2.2B GDP contribution
- Tourism Board packages K-pop tourism for Mainland China visitors

HKSAR Gov. Press Release, Jan 2025

Policy 2 Kai Tak Sports Park

- HKD 32B government infrastructure investment
- 50,000-seat stadium with retractable roof & acoustics
- Resolves 10-year venue gap that cost HK major events

Kai Tak Sports Park, 2025

Policy 3 Tourism Board MOU

- MOUs signed with promoters for K-pop tourism packages
- Hotel + ticket + fan bundles on Damai & Mainland China platforms
- Weibo & Damai promotional channels officially backed

HKTB Partnership Programme

Existing hardcore fans: high ARPU, travel-ready, platform-native (Weibo/Damai)

Emerging Gen Z fans: K-culture lifestyle seekers, driven by Xiaohongshu/TikTok

Government & infrastructure: HK is now the best-equipped city to capture both

REG CUSTOMERS

To maximize monetization and defend against market diversion, REG must deploy tailored strategies across three distinct customer profiles.

Mainland Core Fans

60 – 70% OF AUDIENCE

Willingness to Pay

Price Sensitivity

PROFILE & BEHAVIOR

- Highly active on for ticketing and fan updates.
  Weibo and Damai
- Willing to incur (flights, hotels) to attend shows.
  high cross-border travel costs

Strategic Need: They seek a complete weekend tourism and consumption experience, not just a 2-hour concert.

Local Loyalists

~ 15 – 20% OF AUDIENCE

Willingness to Pay

Price Sensitivity

PROFILE & BEHAVIOR

- Primarily residing in Hong Kong.
  students and young females
- Exhibit to specific idol groups and core fandom culture. extreme loyalty

Strategic Need: They demand authentic connection, community engagement, and exclusive local merchandise.

Casual Listeners

~ 10 – 25% OF AUDIENCE

Willingness to Pay

Price Sensitivity

PROFILE & BEHAVIOR

- Spillover from the core K-pop audience; interested in broader . K-Culture lifestyle
- Highly susceptible to and easily priced out of premium concerts. pricing barriers

Strategic Need: Require lower-barrier interactive products (e.g., KCON daytime passes) to enter the monetization funnel.

PROBLEM STATEMENT

Three structural challenges REG must solve — before competitors do

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Q1 — HK DIFFERENTIATION RISK

60–70%

of HK K-pop audiences are Mainland China visitors

THE THREAT CHAIN

Mainland market opens

↓

Fans go direct to Beijing / Shanghai

↓

HK loses 60–70% of its audience

EVIDENCE

- Taylor Swift Asia tour bypassed HK for larger venues
- HK lost bids to Singapore, Tokyo & Seoul for years
- Kai Tak (2025) fixes supply — differentiation still open

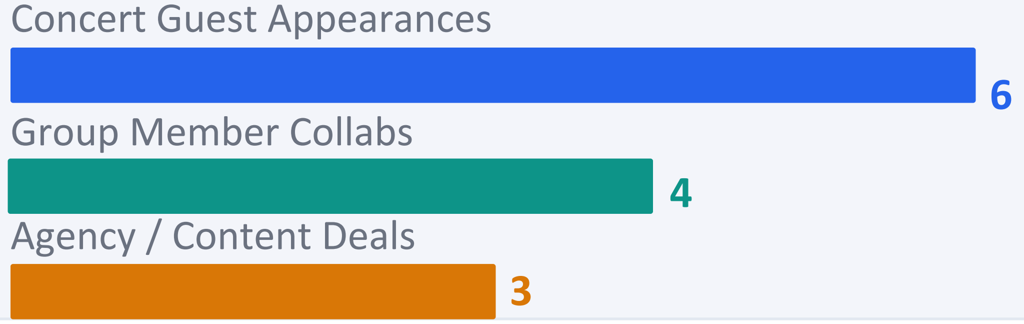
CORE QUESTION 1:

How does HK become irreplaceable — not just a convenient stopover?

Q2 — SINO-KOREAN COLLAB GAP

11	2	85%
HK/Macau collabs 2016–2025	Mainland cases (restrictions)	HK/Macau share of all collabs

Documented Collab Types (2016–2025)



PROVEN PRECEDENTS

✓ EXO-M / SJ-M: CN sub-unit model proved demand

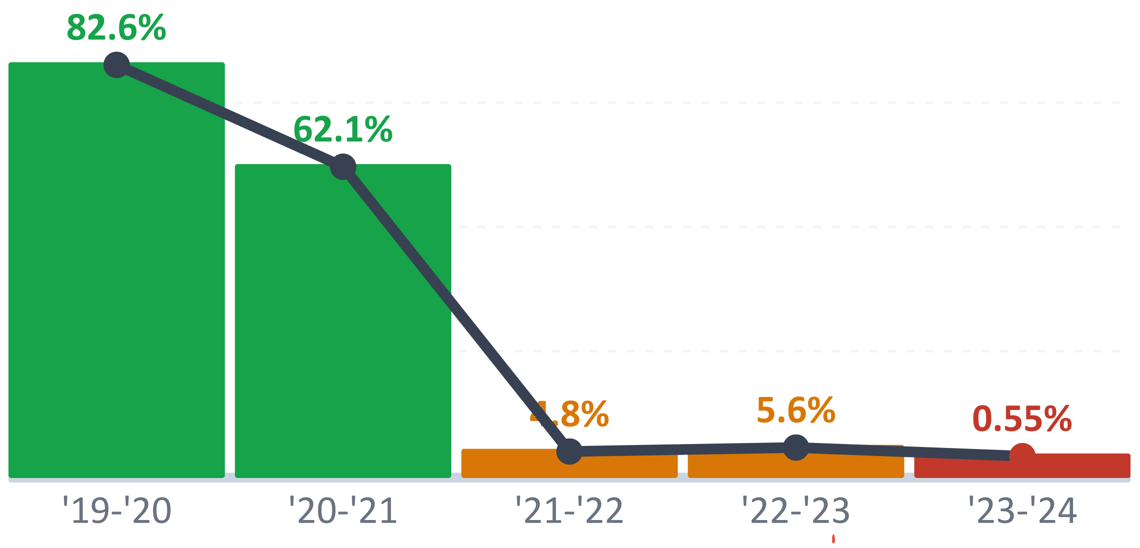
✓ (G)I-DLE: Mixed CN/TW/KR group (4th gen)

CORE QUESTION 2 :

How can REG build a systematic bridge between Korean & Chinese idol markets?

Q3 — K-POP GROWTH STAGNATION

K-pop Album Export YoY Growth (%)



⚠ BTS / BLACKPINK Over-Reliance

New 4th-gen groups cannot replicate their commercial scale. HYBE chairman warned of industry crisis (2023).

⚠ J-pop Precedent Warning

J-pop fell 50% in 15 years. Pop markets are not permanent — K-pop must expand its audience now.

CORE QUESTION 3:

How can REG expand K-pop's reach beyond hardcore fans?

STRATEGY OVERVIEW

Three problems → three targeted solutions — and a flywheel that makes them stronger together

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PROBLEMS

Q1

HK Differentiation Risk

60–70% of audience are Mainland China visitors

If unsolved → risk

Q2

Sino-Korean Collab Gap

85% of collabs concentrated in HK / Macau

If unsolved → risk

Q3

K-pop Growth Stagnation

Export growth collapsed: 82.6% → 0.55%

If unsolved → risk

SOLUTIONS

S1 Premium Festival Hub

MAMA AWARDS + KCON + Kai Tak

- Lock in MAMA AWARDS permanently @ Kai Tak
- Pitch Asia-first debut for world tours
- **Host KCON flagship festival at Kai Tak**

S2 Reverse Incubator

CJ ENM Korean-Chinese Idol Bridge

- Joint KR-CN idol selection & debut program
- Bridge Artist initiative with HK/TW/CN idols
- Co-produced albums distributed via HK base

S3 Data-Driven Ecosystem

KCON Expansion + BI Intelligence

- **KCON data pipeline to convert casual fans**
- Build data warehouse & AI demand forecasting
- Identify casual fans → convert to concert buyers

SYNERGIES

FLYWHEEL EFFECT

S1 Festival Hub
Drives footfall
→ scales KCON audience

S2 Idol Bridge
Creates exclusive IP
→ differentiates REG

S3 Data Engine
Reduces investment risk
→ grows casual fans

↻ Cycle repeats
REG becomes
structurally indispensable

Each solution directly addresses one problem — and all three reinforce each other, creating a moat no single rival can replicate.

STRATEGY 1—— PREMIUM FESTIVAL HUB

Issues addressed：

If the Mainland China market were to open up, how would we compete with Beijing and Shanghai?

① HK DIFFERENTIATION RISK

Establishing Hong Kong as a "Premium Festival Hub" via Kai Tak neutralizes Mainland China diversion through irreplicable, immersive weekend K-Culture ecosystems.

STRATEGIC FOCUS: KAI TAK SPORTS PARK & MAMA ECOSYSTEM

1. PERMANENT MAMA ANCHOR

- Kai Tak Sports Park(50K capacity) to compete directly with Los Angeles and Osaka. (**Anchor MAMA 2025**)
- In 2025, MAMA return to Hong Kong, taking advantage of the situation to establish it as an **annual flagship event**
- Amplifies HK's **cultural soft power** through global media and high-value brand endorsements.

2. EXCLUSIVE ASIAN PREMIERE

- Proactively secure Kai Tak as the mandatory **Asian premiere destination** for global world tours.
- Support the **super performance** form of multi-group mix-and-match and cross-border linkage
- I-DLE 2024 Hong Kong sold out plus the third show: ***demand always exists, and supply used to be limited***

3. INTEGRATED CONSUMPTION

- Content expansion : fuse music with K-food, beauty, fashion, and gaming. **(KCON model)**
- Partner with Tourism Board for **"Hotel + Ticket + Experience"** packages on Mainland platforms.
- Relying on CJ ENM's experience in hosting KCON, the world's largest K-pop music festival, we have established an **exclusive flagship version** in Hong Kong

WHY MAINLAND CITIES CANNOT REPLICATE THIS MODEL

Regulatory Immunity

The "Hallyu ban" persists. Strict Mainland China approvals prohibit complex, multi-group crossover mega-festivals, whereas HK offers zero political risk.

Diversified Profitability

HK's commercial maturity allows up to 20% sponsorship ratios in large venues. Ticketing + sponsorships + merch ensures highly controllable cost-benefit ratios.

Unshakeable Brand Moat

HK’s neutral international status solidifies its "Premiere City" brand. Once established, it requires years to be displaced by emerging Mainland China competitors.

STRATEGY 2—— The REVERSE INCUBATOR

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Issues addressed:

As a Korean company based in Hong Kong, how to promote cross-border cooperation between Chinese and Korean idols?

2 CROSS-CULTURAL DISCONNECT

REG as Reverse Incubator: build proprietary KR-CN IP to solve the cross-cultural disconnect.

1. CJ ENM Joint Selection Program

- Leverage CJ ENM's established production pedigree (e.g., *Produce 101*).
- Utilize **HK/Macau as neutral bases** to bypass Mainland regulatory hurdles.
- Jointly launched the Korean-Chinese idol selection plan with Chinese entertainment companies

Success example: EXO-M and SJ-M.

2. Bridge Artist Program

- Institutionalize a **structured cross-cultural performance system.**
- Integrate top-tier HK/Chinese artists as **regular guests on K-pop tours.**
- Generate viral content moments providing Chinese stars K-pop stage exposure.

3. Co-Production Creative Camp

- Implement SM-style creative camps for **intensive musical co-production.**
- Fuse elite Korean production expertise with exceptional Chinese artistic talent.
- Develop co-owned IP created in HK and **distributed globally**.

THE REG MOAT: UNMATCHED STRATEGIC ADVANTAGE

Competitor Weaknesses	The REG Nexus (Key Differentiators)
No Chinese entertainment network or local operational roots.	**1. Korean Content DNA:** Exclusive access to CJ ENM's elite production resources and global artist networks. **2. Chinese Market Channels:** Established pathways and deep understanding of Mainland audience consumption habits.

STRATEGY 3—— DATA-DRIVEN ECOSYSTEM

Issues addressed：

How to deal with the slowdown in the growth of K-pop and maintain its vitality?

3 INDUSTRY STAGNATION

Deploying a Data-Driven BI Ecosystem and mass-market KCON expansion counters K-pop stagnation by mitigating investment risks and broadening the audience funnel.

PILLAR A: KCON MASS-MARKET EXPANSION

Strategic Repositioning

Evolve from a niche "fandom meetup" into a comprehensive "K-Culture Lifestyle Festival" integrating K-Food, Beauty, Fashion, and Gaming.

Targeting the "Casual Listener"

Capture the 18-30 female demographic across HK and Mainland who follow Korean trends but avoid expensive, hardcore K-pop concert tickets.

FMCG Sponsorship Upsell

Transition from traditional finance sponsors to Beauty/Food brands (e.g., COSRX, Bibigo). Goal: Increase sponsorship revenue share to 30-35%.

PILLAR B: DATA-DRIVEN BI OPERATIONS

ETL & Data Warehousing

Integrate unstructured, multi-platform data (Damai, Weibo, Instagram, historical ticketing) into a centralized, actionable Data Mart.

AI Predictive Modeling

Utilize sentiment analysis to forecast real demand, providing quantitative leverage against inflated Artist Guarantee negotiations driven by competitors.

Embedded Compliance Architecture

Implement rigorous regulatory checkpoints within the ETL pipeline to ensure cross-border data transfer complies with HK and Mainland laws.

STRATEGIC IMPACT & SOLUTION VALIDATION

Three solutions compound each other — and together close every problem this case presents

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S1 Premium Festival Hub

HK as Asia's K-pop Destination

50,000	MAMA 2025
Kai Tak seats vs 14,000 max before	Confirmed return to HK

- **Drives Mainland China fan footfall** to HK
- Creates Asia premiere brand prestige
- Anchors KCON scale expansion (S3)

S2 Reverse Incubator

CJ ENM Korean-Chinese Idol Bridge

1 IP	85%
KR-CN collab project in 18 months	Collabs currently HK/Macau-based

- Exclusive content differentiates REG events
- **Earns royalties** even if fans stay in Mainland China
- Cements CJ ENM's cross-cultural IP moat

S3 Data-Driven Ecosystem

KCON Mass Expansion + BI Engine

7K→15K	-30%
KCON attendance Phase 1→2	Reduction in ticket dependency

- Converts casual fans into concert buyers
- Lowers artist guarantee risk via data
- Builds sponsorship revenue to 25%+ share

COMPOUND SYNERGY — 3 Solutions > Sum of Parts

S1	*drives footfall* →	S3	**scales KCON audience**
S2	*creates exclusive content* →	S1	**supports S1 premium pricing**
S3	*grows casual fan base* →	S1	**lowers artist guarantee pressure**
S1	*provides large-scale stage* →	S2	**content assets for IP co-creation**

OVERALL REG IMPACT

Short-term	HK becomes Asia's most prestigious K-pop destination — surpassing Singapore & Tokyo
Mid-term	REG holds the only institutional infrastructure for KR-CN cultural collaboration
Long-term	REG is structurally indispensable — not just a promoter, but the K-pop cultural hub of Greater China

LOCK VERIFICATION — Every Problem Has an Answer

Q1 →	S1	✓ HK Premium Festival Hub → irreplaceable premiere destination
Q2 →	S2	✓ Reverse Incubator → systematic KR-CN collaboration bridge
Q3 →	S3	✓ Data Ecosystem + KCON → expanded audience & sustained growth

FINANCIAL FORECAST & BUSINESS MODEL

From single-revenue dependency to a diversified, resilient income structure by 2028

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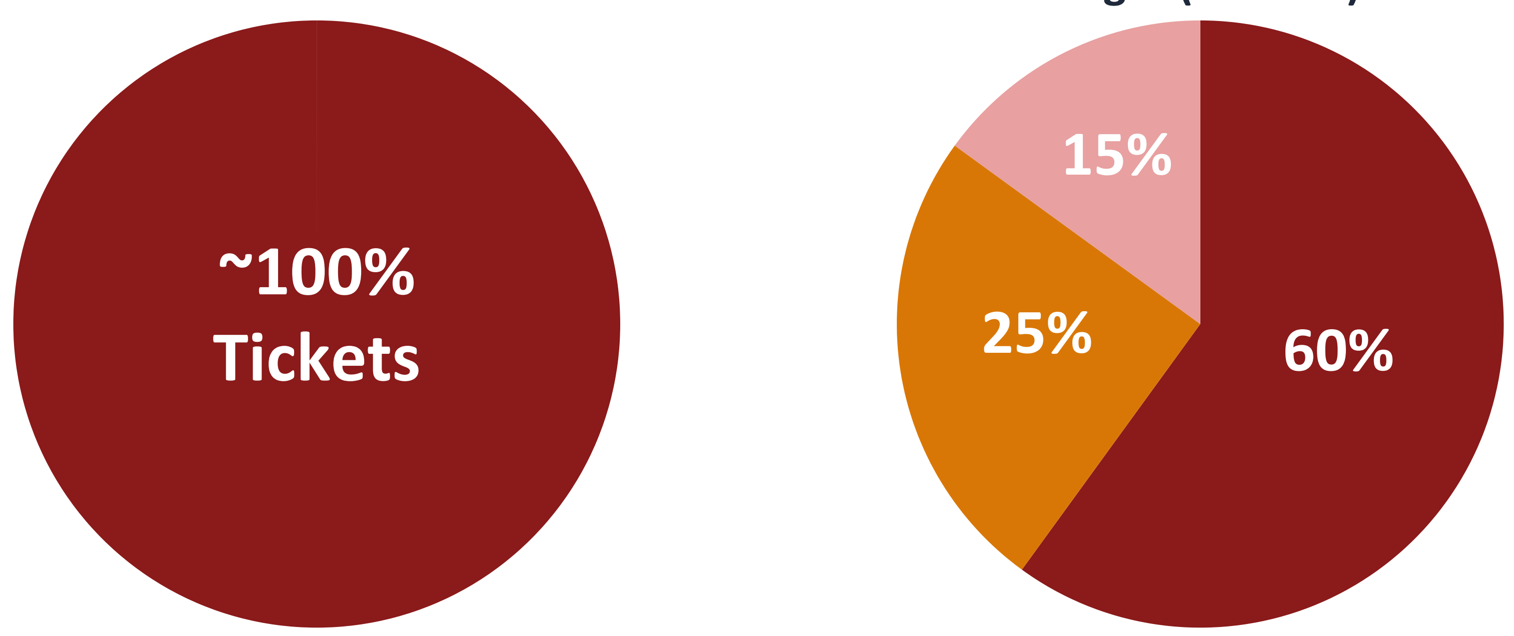
1 Revenue Restructuring

Current | Target (Phase 3)



Tickets | Sponsorship | Derivatives / IP

Revenue Source	Current		Target (Phase 3)
Tickets	~100%	→	60%
Sponsorship	<20%	→	25%
Derivatives/IP	0%	→	15%

WHY THIS WORKS

- Kai Tak's 50,000 seats lifts ticket revenue in absolute terms even as share shrinks
- K-beauty, food & fashion brands unlock new sponsorship via KCON platform
- KR-CN co-produced IP generates royalties independent of live-event cycles

2 Dynamic Pricing Mechanism

Hardcore Fans — *Inelastic demand* →

- High-Premium VIP packages
- Backstage access + fan meets
- Exclusive early-bird presales

General Public — *Elastic demand* →

- Affordable single-day KCON passes
- Live-stream access (low price point)
- First-time K-pop experience entry

Dual-segment strategy: hardcore fans maximise revenue per head (ARPU); general public expand audience funnel and data volume — both reinforce the flywheel.

3 Key Financial Targets (2026–2028)

↓	↑	↻	↑
−30%	**40%**	**60%+**	**15–20%**
Ticket Dependency	**Sponsor + Cross-border**	**Mainland Retention**	**Price Premium**
Reduce over-reliance	of total revenue	audience base preserved	Kai Tak uplift

EXECUTION ROADMAP

Three phases, clear milestones, and go / no-go decision gates at each stage

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Start | Month 6 | Month 12 | Month 24

Phase 1 | Phase 2 | Phase 3

Phase 1 Month 0 – 6

Data Integration

Strategy: S3

- Deploy ETL pipeline: Instagram, Damai, Weibo & historical ticketing
- Build audience-behaviour Data Mart (replaces experience-based decisions)
- Activate Weibo / Xiaohongshu / Douyin KOL network for KCON HK

DATA SOURCES INTEGRATED

Instagram | Damai 大麦 | Weibo 微博

Target: **≥95% uptime** over 4-week test run

Decision Gates

- Data pipeline live: ≥3 sources integrated, ≥95% uptime over 4-week test run
- KCON HK KOL agreements signed

Phase 2 Month 6 – 12

Festival Launch

Strategy: S1 + S2

- Stage upgraded KCON or MAMA AWARDS at Kai Tak Stadium (50,000 seats)
- Sign Concert Tourism MOU with HK Tourism Board
- Debut Bridge Artist programme — local HK/CN idols as K-pop co-headliners

AUDIENCE SCALE TARGET

10K

Gate threshold: 10,000 | Venue capacity: 50,000

MAMA 2026
Confirmed at Kai Tak

HKD 2.2B
GDP contribution

Decision Gates

- KCON HK attendance exceeds 10,000
- MAMA AWARDS 2026 confirmed at Kai Tak

Phase 3 Month 12 – 24

Content Incubation

Strategy: S2 + S3

- Launch first REG-led KR-CN idol collab single + companion documentary
- Use HK / Macau as production & distribution base
- Initiate Greater Bay Area KCON expansion feasibility study

DELIVERABLES

♪ KR-CN collab single | ▶ Companion documentary | ★ GBA expansion feasibility

Decision Gates

- 1 KR-CN IP collaboration project live
- Contingency plan ready if mainland eases restrictions

RISK MATRIX & MITIGATION

Four structural risks REG faces — and why our strategy already addresses each one

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RISK	SPECIFIC THREAT	SEV.	MITIGATION — HOW OUR STRATEGY RESPONDS
R1 **Seven-Year Curse**	K-pop groups **disband or pause** at contract expiry — or male idols enter military service. REG's GOT7 concert was cancelled after COVID delays + disbandment, causing major losses.	HIGH	S3 **Data lifecycle model flags group risk before committing — avoids blind bets** S1 **KCON multi-artist format spreads risk across 5–10 acts vs single-group tours**
R2 **Mainland Market Opens**	If Mainland China lifts **K-pop restrictions**, 60–70% of REG's HK audience has no reason to travel to HK. Fans go direct to Beijing & Shanghai — ticket revenue base collapses.	HIGH	S2 **KR-CN IP co-creation means REG earns royalties even when fans stay in Mainland China** S1 **HK "First-Performance City" brand locks in Asia premieres — Mainland China only gets follow-up dates**
R3 **Competitor Price War**	iMe (Chinese capital) continuously raises artist guarantees to outbid REG. Live Nation locks down JYP artists globally. REG risks being priced out of top-tier acts.	MED	S1 **MAMA AWARDS + KCON IP gives artists a cultural reason to choose REG — beyond the fee** S3 **Data intelligence enables precise artist selection — we bet smart, not big**
R4 **Data Compliance**	Cross-border data transfers (Weibo, Damai, Mainland China fans) may violate Mainland China or HK data sovereignty regulations — potentially shutting down REG's entire S3 data strategy.	MED	S3 **Compliance checkpoints embedded in ETL pipeline from Day 1 — built-in, not retrofitted** S3 **Data onshore principle: Mainland China user data stays on Mainland China servers (Damai / Weibo). Only anonymised, aggregated insights are transmitted to REG HK — eliminating cross-border personal data risk**

Roadmap → When & how to execute | **Financials** → Where the revenue comes from | **Risk Matrix** → We've anticipated the worst and planned

APPENDIX— Financial Projection (HKD mn)

5-year revenue, cost and operating profit forecast | Scenario: Base case under proposed strategic transformation

Metric / Year (HKD mn)	2026	2027	2028	2029	2030
A. REVENUE					
Ticketing Revenue	287	403	810	912	984
Sponsorship Revenue	90	155	338	380	410
Licensing / IP Revenue	33	62	203	228	246
Total Revenue (A)	**410**	**620**	**1,350**	**1,520**	**1,640**
B. COST (cash operating basis)					
Talent / Artist Guarantee & Production	190	253	535	579	606
Venue / Stage & Production	70	108	238	250	261
Marketing / PR & Channels	40	59	119	132	138
Ticketing / Distribution Fees	15	22	42	46	49
Ops / Security / Insurance / Permits	15	24	48	53	54
Data & Compliance Run-rate	8	16	30	30	31
IP Co-production (part may be capitalised)	15	57	176	226	271
Total Cost (B)	**353**	**539**	**1,188**	**1,316**	**1,410**
C. OPERATING BENEFIT					
Operating Profit (A – B)	**57**	**81**	**162**	**204**	**230**
Operating Margin (C / A)	**13.9%**	**13.1%**	**12.0%**	**13.4%**	**14.0%**

Notes: All figures in HKD million, linking audience scale (7k→15k→50k) to ticket, sponsorship, and IP shares defined in the strategy (Phase 3: 60%/25%/15%), with a ticket-price uplift (15–20%) applied to reflect the venue upgrade; costs are derived from standard event expense.All figures are produced as Low/Base/High scenarios by varying the key uncertain inputs